

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$211.51 ▲ 2.44%	12M Price Target \$245.00	52-Week Range \$61.44 – \$329.88	Market Cap \$190.09B
-----	------------------	------------------------------	-------------------------------------	-------------------------

MRVL: Bouncing Back as AI Custom Silicon Story Holds

WHAT HAPPENED

- MRVL bounced +2.44% to \$211.51 after a 3-day slide, and the catalyst is really Broadcom's earnings last night — AVGO printed 221% AI revenue growth but sold off 6% on "soft" guidance. Truist called AVGO's guide conservative, which is bleeding over positively into MRVL because both are the two big custom-AI-chip (ASIC) plays for hyperscalers. Translation: if AVGO's AI pipeline is understated, MRVL's likely is too.
- Options flow is loud and bullish — put/call ratio of 0.43 (way more calls than puts, meaning traders are betting on upside) with unusual call buying at the \$180 strike running 15x normal open interest. Somebody's positioning for a move.

WHY IT MATTERS

Here's the real read: MRVL got dragged down with AVGO into earnings and is now getting a relief bounce as the market digests that AVGO's "disappointment" was actually a sandbag. This probably means MRVL's own AI custom silicon narrative (Amazon Trainium, Microsoft Maia) is still intact — and the sector's fear was overdone. What to watch for: if Nvidia's new deal (headlines this morning) is another hyperscaler ASIC alternative, MRVL benefits because it validates the "we need custom chips beyond Nvidia" thesis that's literally their entire growth story. The stock at 56% of its 52-week range (\$61-\$330) is well off highs — meaning there's room to run if the AI capex cycle keeps compounding.

POLICY & POLITICAL WATCH

The big one is the CHIPS Act implementation and the expanded China export controls — MRVL is a direct beneficiary of federal semiconductor incentives but also gets whacked when Commerce Department tightens rules on advanced chip exports to China (roughly 43% of their revenue historically had China exposure, though they've been diversifying). Right now Congress is debating CHIPS Act 2.0 with additional R&D tax credits for domestic chip designers — if that passes, it's a direct EPS boost for MRVL. Also watch the Taiwan situation: MRVL fabs at TSMC, so any tariff or trade escalation on Taiwanese semis (which the administration has floated) hits their cost structure directly.

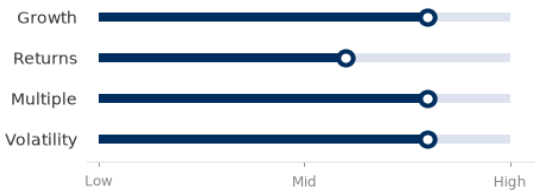
IS IT EXPENSIVE?

At ~\$190B market cap and roughly 23x forward sales, investors are paying \$23 for every \$1 of revenue — that's rich but cheaper than AVGO at ~20x and NVDA at ~25x, so MRVL is actually the "reasonable" way to play custom AI silicon. On earnings, ~74x forward P/E (paying \$74 for every \$1 of next year's profit) demands the AI ramp keeps compounding at 40%+. Justified if hyperscaler capex holds, punitive if it slows — this is a "growth must show up" valuation.

Key Data

Price (USD)	\$211.51
12M Price Target	\$245.00
Upside / (Downside)	+15.8%
Market Cap	\$190.09B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	74.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$220.00	\$195.00
6 Months	\$275.00	\$240.00	\$180.00
1 Year	\$320.00	\$245.00	\$165.00
2 Years	\$400.00	\$290.00	\$150.00
5 Years	\$550.00	\$380.00	\$180.00
10 Years	\$800.00	\$500.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semis and AI infrastructure — Tech +1.12% today reversing a rough 5-day (-1.56%), suggesting the AVGO-driven fear was a buying opportunity. Consumer Discretionary leading (+1.69%) hints at risk-on sentiment returning.

COOLING OFF: Tech was the worst 5-day performer before today, weighed down by AI valuation concerns and rate uncertainty. The cooling reflects worry that hyperscaler capex has peaked — a debate that will define Q4.

ROTATION WATCH: Money rotated OUT of high-multiple AI names into cyclical last week, but today's bounce suggests that was a head-fake. Watch if Financials strength (+1.31%) holds — it signals broader risk appetite that supports semis.

RELATED PLAY: If MRVL's custom silicon story works, the memory guys (MU) and optical transceiver names (COHR, LITE) benefit as second-derivative plays on the same AI buildout.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Down 6% today but 221% AI revenue growth — the "disappointment" is a sandbag; Truist agrees guide is conservative
- NVDA (Nvidia): Inching higher on new deal news, still the king of AI accelerators and the tide that lifts all custom silicon boats

MRVL CONTEXT: MRVL is up while AVGO is down — that's a tell. The market is treating MRVL as the "cleaner" AI ASIC play right now, less encumbered by VMware integration noise. That relative strength is bullish and suggests MRVL takes the leadership baton in the custom silicon narrative into their own earnings.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the stock is volatile and 30%+ off highs for a reason; hyperscaler concentration is real

POSITION SIZE: 3-5% — big enough to matter, small enough that a China headline doesn't ruin your month

ENTRY POINTS: Add on pullbacks to \$200-210; the \$180 unusual call activity suggests smart money sees that as a floor

TIME HORIZON: 12-24 months — the catalyst is MRVL's own earnings and confirmation the Amazon/Microsoft custom silicon ramps are on track

WHEN TO BAIL: If Amazon announces in-sourcing of Trainium design, or China export controls expand to cover networking silicon, or revenue growth decelerates below 25% YoY

HEDGING: Own some semiconductor bear ETF (SOXS) as insurance, or pair-trade by shorting AVGO if it rallies back — protects you if the whole AI trade rolls over without giving up MRVL-specific upside